HSC BUSINESS STUDIES

Finance

Practice questions by syllabus point

146 questions · 53 shown as screenshots of the printed paper · 19 of 21 syllabus points covered

Drawn from 23 papers: NESA HSC 2019–2023, school trial papers 2023–24, and topic question banks.

HOW TO USE THIS BOOKLET

- Questions sit under the syllabus dot point they actually test, in syllabus order.
- Ruled space follows each question, sized to its mark value — write straight onto the page, on paper or with a stylus.
- A question testing more than one dot point is printed once and cross-referenced from the others.
- Where a scan of the original page exists it is shown as-is, so you see the real layout and mark boxes.

CONTENTS

PART 1

Role of financial management

Strategic role of financial management

No short-answer question of its own. Covered inside questions 13, 14.

Objectives

1. **23 (a)** Independent Trial 2024 · Newington Trial 2024 **2 marks**

Outline how the short-term and long-term financial goals of this business may conflict.

STIMULUS

Food Plus Pty Ltd is a health food grocery store, operating successfully in NSW for the last 10 years. Management is now aiming to expand overseas by opening three stores in the USA in the next two years. There are a number of global market influences which Food Plus Pty Ltd needs to consider in relation to this global expansion.

2. **23 (c)** Barker Trial 2023 **2 marks**

Why is efficiency a financial objective?

3. **24 (a)** 2021 Finance Practice HSC Questions **2 marks**

Question 24 (10 marks)

(a) Why is liquidity an objective of financial management? **2**

4. **21 (e)** Abbotsleigh Trial 2023 **3 marks**

Explain how Bakers Dozen's current financial position impacts on the solvency of the business.

STIMULUS

Balance sheet for Bakers Dozen Pty. Ltd. as at 30 June 2023. Current Assets: Cash $19 000, Debtors $2 500, Stock $34 000. Non-current Assets: Equipment $62 000, Buildings $318 000, Land $160 000. Total Assets $595 500. Current Liabilities: Overdraft $30 000. Non-current Liabilities: Debentures $94 000, Mortgage $291 500 (total liabilities $415 500). Owner's Equity: Capital $95 000, Retained profit $85 000 (total equity $180 000). Net profit for 2022-2023 was $160 000; industry average for liquidity is 2.5:1; industry gearing (total liabilities ÷ owner's equity) is 1:1. The business plans to expand nationally.

5. **21 (a)** 2021 Finance Practice HSC Questions · 2023 HSC Business Studies **3 marks**

Question 21 (9 marks)

Sue is a sole trader whose business is growing rapidly as sales are increasing. As a result of the growth, she needs to purchase stock worth $10 000.

(a) Explain a potential conflict between a short-term and a long-term financial objective for Sue. **3**

6. **22 (b)** Newington Trial 2023 **4 marks**

Using the financial information provided, explain why solvency is an important objective for this business.

STIMULUS

Balance Sheet for Simon's Sporting Goods Pty Ltd (a large sporting goods retailer), as at 30 June 2023, figures in '000s. ASSETS: Cash at bank 800; Inventories 300; Accounts receivable 800 (current assets 1900); Plant & Equipment 500; Motor Vehicles 1200; Land & Buildings 4000 (non-current assets 5700); Total assets 7600. LIABILITIES: Accounts payable 1000; Overdraft 300 (current liabilities 1300); Two-year bank loan 1500; Mortgage 3000 (non-current liabilities 4500). OWNER'S EQUITY: Capital 1000; Retained Profit 800 (total equity 1800). Other information: Net profit for 2023 = $300 000; Return on Equity (net profit ÷ total equity) for 2022 = 20%. Industry Averages: Debt to Equity (total liabilities ÷ total equity) = 2:1; Current Ratio (current assets ÷ current liabilities) = 1:1.

7. **22 (c)–(d)** 2021 Finance Practice HSC Questions **8 marks**

(c) Why is it important for a business to control its debt to equity ratio? **4**

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(d) Explain the interdependence of finance and operations in a business. Support your answer with relevant examples. **4**

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8. **4** 2021 Finance Practice HSC Questions **multiple choice**

4 A business ensures all its debts are paid as they fall due.

Which financial objective is the business satisfying?

A. Efficiency

B. Growth

C. Liquidity

D. Solvency

Answer: ____________________

9. **4** 2021 Finance Practice HSC Questions **multiple choice**

4 What does the expense ratio measure?

(A) Efficiency

(B) Growth

(C) Profitability

(D) Solvency

Answer: ____________________

Also tested by questions 15, 16, 17, 18, 19, 20, 21.

Interdependence with other key business functions

10. **24 (c)** Abbotsleigh Trial 2023 **4 marks**

Using the data, analyse the interdependence between human resources management and financial management in this business.

STIMULUS

Table of data for a business, 2021 vs 2022. Human Resources costs: $2 600 000 (2021) vs $2 000 000 (2022). Training expenditure per employee: $1900 vs $1500. Absenteeism per employee: 10 days vs 14 days. Accidents per 1000 employees: 50 vs 30. Number of strike days: 2 vs 10. Staff turnover: 15% vs 10%.

11. **2012 HSC Question 22 (d)** 2021 Finance Practice HSC Questions **4 marks**

Explain the interdependence of finance and operations in a business. Support your answer with relevant examples.

12. **21 (b)** 2019 HSC Business Studies **4 marks**

Explain the interdependence between marketing and finance for this business.

STIMULUS

Question 21 scenario: A business sells luxury cars. The cars are stylish, high performance and include advanced safety features integrating leading edge technology.

Also tested by questions 7, 22.

PART 1 · EXTENDED RESPONSE

Role of financial management — 20-mark questions

10 questions. Plan and write these on separate paper.

13. **2017 HSC Question 25** 2021 Finance Practice HSC Questions **20 marks**

The directors have asked you to write a business report in which you:

• outline ONE strategic role of financial management
• recommend TWO strategies to improve financial performance
• explain the importance of monitoring and controlling the business's marketing strategy.

STIMULUS

Case scenario (business report): Sportyz Goodz Ltd is a retailer that has been operating for the past 20 years in Australia. The directors have provided the following information: in 2013 the business issued new shares on the Australian Securities Exchange and expanded its retail activities internationally; the business is facing increasing competition; the directors are concerned about the positioning of their product in the market; the directors want the business to operate for the benefit of shareholders in the long term. A line graph of financial data (amount in millions of $, 2012-2017) shows both Sales and Profit peaking in 2012, falling sharply to a low in 2013, recovering partially in 2014, then declining steadily through to 2017; Profit sits below Sales across the whole period.

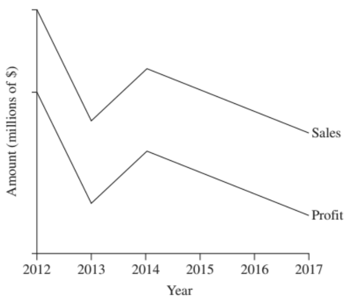
14. **25** 2021 Finance Practice HSC Questions **20 marks**

Question 25 (20 marks)

Sportyz Goodz Ltd is a retailer that has been operating for the past 20 years in Australia. The directors have provided the following information:

- In 2013 the business issued new shares on the Australian Securities Exchange and expanded its retail activities internationally.
- The business is facing increasing competition.
- The directors are concerned about the positioning of their product in the market.
- The directors want the business to operate for the benefit of shareholders in the long term.

Financial data for Sportyz Goodz are shown on the graph.



The directors have asked you to write a business report in which you:

- outline ONE strategic role of financial management
- recommend TWO strategies to improve financial performance
- explain the importance of monitoring and controlling the business's marketing strategy.

15. **27** Newington Trial 2024 **20 marks**

Analyse how financial management strategies can be used to improve financial objectives

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16. **27** Reddam Trial 2024 **20 marks**

Analyse the impact of financial management strategies on liquidity and profitability financial objectives.

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17. **26** Loreto Trial 2024 **20 marks**

Assess the significance of financial management strategies in ensuring the long-term objectives of a business are achieved.

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18. **26** Knox Trial 2023 **20 marks**

Analyse how different sources of finance impact the financial objectives of a business.

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19. **27** Abbotsleigh Trial 2023 **20 marks**

Assess the importance of financial management strategies in achieving the objectives of financial management.

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20. **2020 HSC Question 26** 2021 Finance Practice HSC Questions · 2020 HSC Business Studies **20 marks**

Evaluate the effectiveness of financial management strategies used to achieve profit and growth objectives.

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21. **2012 HSC Question 27** 2021 Finance Practice HSC Questions **20 marks**

How can different sources of funds help a business achieve its financial objectives?

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22. **25** Barker Trial 2023 **20 marks**

Management of Marvels Metals has hired you as a consultant to write a report addressing:

• Outline the strategic role of human resources management for this business.
• Examine the interdependence between finance and human resources for this business.
• Recommend ONE appropriate financial management strategy to address the business' financial problems.

STIMULUS

Marvel Metals manufactures metal products for the Australian building industry. Over the past few years, the business has experienced decreasing profitability and cash flow management problems. Rising inflation has affected a range of their costs such as raw materials, utilities and wages. They have also noticed significant delays in receiving payment from their customers. Management is looking to adopt new technology, which will result in job cuts and retraining for some staff. Employees are unhappy with this potential change and it is contributing to increasing rates of absenteeism and staff turnover.

PART 2

Influences on financial management

Internal sources of finance

23. **22 (a)** Roseville Trial 2023 **2 marks**

Define retained profits.

24. **(b)** 2021 Finance Practice HSC Questions **6 marks**

(b) Discuss ONE internal and ONE external source of finance for Sue's purchase of stock. 6

25. **6** 2021 Finance Practice HSC Questions **multiple choice**

6 A sole trader invests $500 000 into her business.

What is this an example of?

A. An overdraft

B. Retained profits

C. Internal debt finance

D. Internal equity finance

Answer: ____________________

Also tested by questions 18, 21.

External sources — debt

26. **23 (b)** Independent Trial 2024 · Newington Trial 2024 **4 marks**

Discuss TWO sources of finance that Food Plus Pty Ltd can use to fund its expansion.

STIMULUS

Food Plus Pty Ltd is a health food grocery store, operating successfully in NSW for the last 10 years. Management is now aiming to expand overseas by opening three stores in the USA in the next two years. There are a number of global market influences which Food Plus Pty Ltd needs to consider in relation to this global expansion.

27. **24 (c)** Abbotsleigh Trial 2024 **4 marks**

Justify why this business should use debt finance to fund its expansion.

STIMULUS

Balance Sheet for SK Pty Ltd as at year ending 30 June 2024. Current Assets: Cash $15,000; Receivables $10,000; Inventories $80,000. Non-Current Assets: Property $280,000; R&D $60,000; Equipment $100,000. Current Liabilities: Creditors $50,000. Non-Current Liabilities: Bank Loan $100,000. Owners Equity: Capital $350,000; Net Profit $65,000; Drawings $20,000. Other financial information: 2023 return on equity ratio = 11%; 2024 return on equity ratio industry average 13%; 2024 debt to equity ratio industry average 2:1. Additional information for this part: SK Pty Ltd is considering expansion by opening a new store and has been given approval from the bank to borrow $500,000 to finance their expansion.

28. **22 (d)** Reddam Trial 2023 **4 marks**

Compare and contrast TWO sources of debt finance used by Local Grocer Pty Ltd.

STIMULUS

Balance Sheet for Local Grocer Pty Ltd, June 2023.
Current Assets: Cash $25 000; Accounts Receivable $45 000; Inventory $55 000.
Non-Current Assets: Building $400 000; Delivery van $50 000.
Current Liabilities: Accounts Payable $35 000; Bank overdraft $65 000.
Non-Current Liabilities: Mortgage $225 000.
Owners' Equity: Capital $200 000; Retained Profit $50 000.
Additional financial information: Return on Owners' Equity ratio for 2022 = 0.1:1.

29. **22 (c)** Loreto Trial 2024 **5 marks**

Coffee Mania wants to expand its business and is looking at different financing options.
Justify ONE source of finance to fund Coffee Mania's expansion.

STIMULUS

Coffee Mania, a local cafe. Latest financial statement key figures: Current Assets $200,000; Non-Current Assets $800,000; Current Liabilities $150,000; Non-Current Liabilities $500,000; Owner's Equity $350,000. (Debt to equity is therefore 1.87:1.) The business wants to fund an expansion.

30. **2018 HSC Question 24 (c)** 2021 Finance Practice HSC Questions **5 marks**

Discuss the use of leasing and the use of mortgages as a source of long-term finance for this business.

STIMULUS

Case scenario: A business has decided to expand into a larger factory and is now considering its financial options.

31. **24 (c)** 2021 Finance Practice HSC Questions **5 marks**

Question 24 (continued)

(c) A business has decided to expand into a larger factory and is now considering its financial options. **5**

Discuss the use of leasing and the use of mortgages as a source of long-term finance for this business.

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32. **2** 2021 Finance Practice HSC Questions **multiple choice**

2 A business is purchasing a new property.

Which source of finance would be the most appropriate?

A. Shares

B. Mortgage

C. Debenture

D. Letter of credit

Answer: ____________________

33. **7** 2021 Finance Practice HSC Questions **multiple choice**

7 In which of the following are both sources of funds appropriate for a business purchasing extra stock before a busy trading period?

A. Debentures and factoring

B. Retained profits and unsecured notes

C. Debentures and bank overdraft

D. Retained profits and bank overdraft

Answer: ____________________

Also tested by questions 18, 21, 24, 41, 42, 43, 44, 45.

External sources — equity

34. **22 (c)** 2021 Finance Practice HSC Questions · 2019 HSC Business Studies **3 marks**

(c) Explain ONE disadvantage of equity financing. **3**

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35. **12** 2021 Finance Practice HSC Questions **multiple choice**

12 Which of the following allows shareholders of a public company to acquire additional shares at a discount?

A. New issues

B. Placements

C. Private equity

D. Unsecured notes

Answer: ____________________

Also tested by questions 18, 21, 25, 26, 29, 41, 42, 43, 44, 46.

Financial institutions

36. **4** 2021 Finance Practice HSC Questions **multiple choice**

4 A business requires new manufacturing equipment.

Which of the following would provide leasing for this equipment?

A. Unit trusts

B. Property trusts

C. Finance companies

D. Superannuation funds

Answer: ____________________

Influence of government

37. **21 (d)** Abbotsleigh Trial 2023 **2 marks**

Describe how Australian Securities and Investment Commission impacts this business.

STIMULUS

Bakers Dozen Pty. Ltd. Over the past two years the business has experienced remarkable success, with consistently strong profits and a devoted customer base. Fuelled by this growth, the owners' intentions are to expand nationally. Bakers Dozen's expansion aims to reach a wider audience while maintaining the same high-quality and personalised touch that secured such early success within their local community.

38. **(b)** 2021 Finance Practice HSC Questions · Independent Trial 2024 · Newington Trial 2024 **4 marks**

(b) Explain government influences on the financial management of businesses. **4**

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39. **16** 2021 Finance Practice HSC Questions **multiple choice**

16 Which independent federal body ensures that businesses adhere to government regulations, maintain appropriate financial information and provide consumer protection?

A. Reserve Bank of Australia

B. Australian Securities Exchange

C. Australian Prudential Regulation Authority

D. Australian Securities and Investment Commission

Answer: ______________________

Also tested by questions 41, 47.

Global market influences

40. **8** 2021 Finance Practice HSC Questions **multiple choice**

8 What effect would a global downturn in the economic outlook have on Australia's unemployment, output and exchange rates?

	Unemployment	*Output*	*Exchange rates*
A.	Increase	Increase	Decrease
B.	Decrease	Increase	Increase
C.	Decrease	Decrease	Increase
D.	Increase	Decrease	Decrease

Answer: ____________________

Also tested by questions 38, 41, 47.

PART 2 · EXTENDED RESPONSE

Influences on financial management — 20-mark questions

7 questions. Plan and write these on separate paper.

41. **27** Abbotsleigh Trial 2024 **20 marks**

Assess financial management strategies a business may implement in response to the influences on financial management.

42. **25** SIC Trial 2024 **20 marks**

The directors have asked you to write a business report in which you:
- Outline the impact of variation in demand and variety on this business.
- Discuss a suitable source of finance for this business expansion.
- Recommend TWO working capital strategies for this business.

STIMULUS

Roberto y Carlos Pty Ltd (RYC): the founding partners are shareholders in a national fast food chain franchise. The business currently owns a large head office and 25 out of 200 stores. RYC is popular amongst students and businesspeople for its affordable products and friendly, quick service. They are planning to introduce a new menu with expanded options. RYC is seeking to go global next year and requires significant external funding to support the expansion; an investor has offered the total capital to fund the expansion in return for 51% equity. Other key financial information: current ratio of 0.8:1 (30% lower than the industry average); rent affordability is currently at a 5-year low; current interest rates are high at around 8%.

43. **25** 2023 HSC Business Studies **20 marks**

The directors have asked you to write a business report in which you:
• outline some of the challenges including the global factors of costs, skills and supply the business may need to consider in recruiting and retaining staff
• compare the use of debt and equity as sources of finance
• recommend ONE source of finance this business could use to fund its expansion.

STIMULUS

Future Century Gaming Pty Ltd operates an online gaming platform targeting players aged 18–40 in Australia. It has been in operation since 2012, providing subscription access to a variety of online games. The business is considering expanding into emerging global markets but is finding it challenging to recruit and retain skilled, qualified game designers and developers in Australia. It is considering international labour markets to overcome staff shortages. The business has decided to finance its expansion into global markets through external sources. Answer is to be presented as a business report.

44. **25** 2021 HSC Business Studies **20 marks**

You have been hired as a consultant by Ozzi Baby Food Pty Ltd to write a business report to the owners. In your report:
- outline TWO operations influences affecting this business
- discuss the use of retraining and redundancy payments to help overcome employee resistance to these changes
- compare the use of a mortgage to a new issue of shares to fund the factory purchase.

STIMULUS

Hypothetical business: Ozzi Baby Food Pty Ltd has a trusted reputation in domestic and global markets due to its safe and sustainably-sourced product range, which has led to a significant increase in demand. It is considering purchasing a larger automated factory, which will lead to some job losses. External finance is required to fund the purchase, using either a mortgage or becoming a public company on the Australian Securities Exchange (ASX). The response must be presented as a business report.

45. 2014 HSC Question 25 2021 Finance Practice HSC Questions **20 marks**

You have been hired as a consultant to write a report to the management. In your report:
• recommend a source of finance for the factory expansion
• discuss outsourcing overseas compared with the factory expansion
• explain the global factors that need to be considered if they decide to use outsourcing as an operations strategy.

STIMULUS

Case scenario (business report): Emu Uniform Manufacturers Pty Ltd are a successful business based in NSW. They currently supply a range of school, sport and work uniforms to a large number of customers throughout Australia. They are known for their outstanding customer service and high quality products. Sales have been increasing for many years and they have recently received a large long-term contract to supply uniforms to a major company. This will require them to significantly expand their output. To do this, the business will have to outsource overseas or spend $5 million to expand its existing factory in NSW.

46. 25 2021 Finance Practice HSC Questions **20 marks**

Question 25 (20 marks)

Emu Uniform Manufacturers Pty Ltd are a successful business based in NSW. They currently supply a range of school, sport and work uniforms to a large number of customers throughout Australia. They are known for their outstanding customer service and high quality products.

Sales have been increasing for many years and they have recently received a large long-term contract to supply uniforms to a major company.

This will require them to significantly expand their output. To do this, the business will have to outsource overseas or spend $5 million to expand its existing factory in NSW.

You have been hired as a consultant to write a report to the management. In your report:

- recommend a source of finance for the factory expansion
- discuss outsourcing overseas compared with the factory expansion
- explain the global factors that need to be considered if they decide to use outsourcing as an operations strategy.

47. 27 Reddam Trial 2023 **20 marks**

Analyse the influence of government and the global market on financial management strategies.

PART 3

Processes of financial management

Planning and implementing

48. **22 (b)** 2021 HSC Business Studies **3 marks**

Explain a financial risk associated with borrowing funds from the USA.

STIMULUS

A luxury Australian handbag business is going to expand. They intend to borrow 30 million US dollars to buy several new retail properties across Australia.

49. **24 (c)** SIC Trial 2024 **4 marks**

Describe the importance of the planning and implementing process for this business.

STIMULUS

Key financial information for a manufacturing business planning to invest $10m into a new manufacturing facility over the next 3 years. Figures in $'000: Revenue 9 000; Accounts receivable 2 500; Cost of goods sold 3 600; Retained profit 1 400; Expenses 3 780. Industry averages: Gross Profit Ratio 50%; Net Profit Ratio 25%; Expense Ratio 45%.

50. **14** 2021 Finance Practice HSC Questions **multiple choice**

14 Which of the following is the correct order for financial planning?

A. Developing budgets, determining financial needs, maintaining record systems, identifying financial risks, establishing financial controls

B. Determining financial needs, establishing financial controls, identifying financial risks, maintaining record systems, developing budgets

C. Determining financial needs, developing budgets, maintaining record systems, identifying financial risks, establishing financial controls

D. Developing budgets, maintaining record systems, identifying financial risks, establishing financial controls, determining financial needs

Answer: ____________________

Also tested by question 114.

Debt and equity financing

51. **22 (c)** Reddam Trial 2023 **2 marks**

Explain ONE advantage of Local Grocer Pty Ltd using debt finance rather than equity finance.

STIMULUS

Balance Sheet for Local Grocer Pty Ltd, June 2023.
Current Assets: Cash $25 000; Accounts Receivable $45 000; Inventory $55 000.
Non-Current Assets: Building $400 000; Delivery van $50 000.
Current Liabilities: Accounts Payable $35 000; Bank overdraft $65 000.
Non-Current Liabilities: Mortgage $225 000.
Owners' Equity: Capital $200 000; Retained Profit $50 000.
Additional financial information: Return on Owners' Equity ratio for 2022 = 0.1:1.

52. **23 (d)** 2022 HSC Business Studies **3 marks**

Using the financial information provided, explain why the business should use debt finance to acquire the two new stores.

STIMULUS

A gifts and homewares business sells goods such as candles, bags, cushions, soaps and jewellery. Financial information: Operating income (revenue) $1 500 000; Gross profit $1 100 000; Expenses $600 000; Total liabilities $2 000 000; Net profit $500 000; Owner's equity $1 800 000 (return on owner's equity 27.8%). The family-owned business is considering expansion by opening two new stores. Their bank has given approval to borrow $3 000 000 at 4% interest to finance their expansion.

53. **23 (c)** 2022 HSC Business Studies **3 marks**

Why is the level of gearing an important consideration for the lender to this business?

STIMULUS

A gifts and homewares business sells goods such as candles, bags, cushions, soaps and jewellery. Financial information: Operating income (revenue) $1 500 000; Gross profit $1 100 000; Expenses $600 000; Total liabilities $2 000 000; Net profit $500 000; Owner's equity $1 800 000. The family-owned business is considering expansion by opening two new stores. Their bank has given approval to borrow $3 000 000 at 4% interest to finance their expansion.

54. 2012 HSC Question 22 (c) 2021 Finance Practice HSC Questions **4 marks**

Why is it important for a business to control its debt to equity ratio?

STIMULUS

Balance Sheet for Chalker Pty Ltd as at year ending 30 June 2012. Current Assets: Cash $8 000; Receivables $12 000; Inventories $15 000 (total current assets $35 000). Non-Current Assets: Property, Plant and Equipment $33 000. Total Assets $68 000. Current Liabilities: Creditors $14 000. Non-Current Liabilities: Loan $20 000. Owners Equity: Capital $15 000; Retained Net Profit $19 000 (total $34 000). Total Liabilities and Owners Equity $68 000.

55. **22 (a)–(b)** 2021 Finance Practice HSC Questions **5 marks**

Question 22 (8 marks)

(a) Outline ONE ethical issue related to the preparation of financial reports. **2**

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(b) Explain ONE advantage of debt financing. **3**

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Also tested by questions 26, 27, 29, 34, 43, 44, 46, 115.

Matching the terms and source of finance to business purpose

No short-answer question of its own. Covered inside questions 24, 26, 28, 30, 31, 32, 33, 43, 46.

Monitoring and controlling

56. **2014 HSC Question 24 (a) (i)** 2021 Finance Practice HSC Questions **1 mark**

Calculate the opening cash balance for March.

STIMULUS

Extract from a cash flow statement for a business ($): Cash in - Jan 6000, Feb 5000, March 3000, April 2000, May 4000, June 3000. Cash out - Jan 3000, Feb 3000, March 8000, April 8000, May 3000, June 2000. The opening cash balance for January is $5000.

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57. **2014 HSC Question 24 (a) (ii)** 2021 Finance Practice HSC Questions **1 mark**

In which month did the business start with a negative cash balance?

STIMULUS

Extract from a cash flow statement for a business ($): Cash in - Jan 6000, Feb 5000, March 3000, April 2000, May 4000, June 3000. Cash out - Jan 3000, Feb 3000, March 8000, April 8000, May 3000, June 2000. The opening cash balance for January is $5000.

58. **24 (a)** SIC Trial 2024 **2 marks**

Distinguish between a balance sheet and an income statement.

STIMULUS

Question 24 data: key financial information for a manufacturing business that plans to invest $10m into a new manufacturing facility over the next 3 years. Figures in $'000: Revenue 9 000; Accounts receivable 2 500; Cost of goods sold 3 600; Retained profit 1 400; Expenses 3 780. Industry averages: Gross Profit Ratio (gross profit / sales) = 50%; Net Profit Ratio (net profit / sales) = 25%; Expense Ratio (expense / sales) = 45%.

59. **24 (a)** 2023 HSC Business Studies **2 marks**

What is the purpose of a cash flow statement?

60. **22 (a)** 2021 HSC Business Studies **2 marks**

Identify where the business could record the loan and the properties on its balance sheet.

STIMULUS

A luxury Australian handbag business is going to expand. They intend to borrow 30 million US dollars to buy several new retail properties across Australia.

61. **24 (a)** 2021 Finance Practice HSC Questions **2 marks**

Question 24 (10 marks)

(a) The table shows an extract from a cash flow statement for a business.

	Jan	*Feb*	*March*	*April*	*May*	*June*
Cash in ($)	6000	5000	3000	2000	4000	3000
Cash out ($)	3000	3000	8000	8000	3000	2000

The opening cash balance for January is $5000.

(i) Calculate the opening cash balance for March. **1**

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(ii) In which month did the business start with a negative cash balance? **1**

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62. **11–12** 2021 Finance Practice HSC Questions **multiple choice**

11 If Steve is a sole trader, how much equity does he have in the business?

(A) $12 800

(B) $35 500

(C) $135 500

(D) $146 000

12 The current ratio (current assets ÷ current liabilities) for this business is

(A) too high.

(B) acceptable.

(C) dangerously low.

(D) unable to be calculated.

Answer: ____________________

63. **10** 2021 Finance Practice HSC Questions **multiple choice**

10 The table shows cash flow information for a business.

	Jan	*Feb*	*March*	*April*
Opening balance ($)	4 000			
Cash in ($)	20 000	20 000	20 000	24 000
Cash out ($)	14 000	50 000	24 000	26 000

What is the opening cash balance for April?

(A) –$24 000

(B) –$18 000

(C) –$16 000

(D) –$12 000

Answer: ____________________

64. **17–18** 2021 Finance Practice HSC Questions **multiple choice**

Use the following information to answer Questions 17 and 18.

A business provided the following financial information.

	2019 ($)	*2020* ($)
Sales	250 000	275 000
Cost of goods sold	145 000	145 000
Gross profit	?	?
Expenses	35 000	35 000
Net profit	?	?

17 Which of the following shows the gross profit and the net profit ratio for this business in 2020?

	Gross profit	*Net profit ratio* (net profit ÷ sales)
A.	$105 000	28.0%
B.	$105 000	42.0%
C.	$130 000	34.5%
D.	$130 000	47.0%

18 Which of the following describes the change in both the gross profit ratio and expense ratio from 2019 to 2020?

	Gross profit ratio (gross profit ÷ sales)	*Expense ratio* (total expenses ÷ sales)
A.	Improved	Improved
B.	Improved	Worsened
C.	Worsened	Improved
D.	Worsened	Worsened

Answer: ______________________

65. **11–12 (stimulus)** 2021 Finance Practice HSC Questions **multiple choice**

Use the information below to answer Questions 11 and 12.

Balance sheet for Steve's Lawn Services as at 30th June 2016

Current assets	$	*Current liabilities*	$
Cash	15 000	Accounts payable	5 000
Accounts receivable	3 000	Overdraft	5 500
Stock	?		
Non-current assets		*Non-current liabilities*	
Plant and equipment	40 000	Long-term loan	100 000
Goodwill	85 000		
		Total equity	
		Capital	22 700
		Net profit	12 800

Industry standard current ratio: 1.9 : 1

Answer: ____________________

66. **15** 2021 Finance Practice HSC Questions **multiple choice**

15 Use the information to answer Question 15.

Balance sheet as at 30 June 2019

	($)		($)
Current assets		*Current liabilities*	
Cash	10 000	Accounts payable	10 000
Accounts receivable	5 000	Overdraft	5 000
Stock	8 000		
Non-current assets		*Non-current liabilities*	
Plant and equipment	35 000	Mortgage	135 000
Land and buildings	292 000		
		Total equity	
		Capital	184 000
		Net profit	16 000
	350 000		**350 000**

What is the gearing ratio (total liabilities ÷ total equity) for this business?

A. 0.67 : 1

B. 0.73 : 1

C. 0.75 : 1

D. 0.81 : 1

Answer: ______________________

Also tested by question 114.

Financial ratios

67. **22 (b)** Roseville Trial 2024 **1 mark**

Calculate the expense ratio for Smith Office Supplies Pty Ltd.

STIMULUS

Financial data for Smith Office Supplies Pty Ltd for the period ending 30 June 2023 (business figure, then industry average): Sales 180 000 / 240 000; Cost of Goods Sold 120 000 / 120 000; GROSS PROFIT 60 000 / 120 000; Operating expenses — Administrative 17 000 / 15 000, Sales and distribution 7 000 / 15 000, Financial 7 000 / 10 000; NET PROFIT 29 000 / 80 000. Formulae given: Gross Profit Ratio = Gross Profit / Sales; Net Profit Ratio = Net Profit / Sales; Expense Ratio = Total expenses / Sales.

68. **21 (a)** Abbotsleigh Trial 2023 **1 mark**

Calculate the return on owners' equity ratio (net profit ÷ total equity) for Bakers Dozen.

STIMULUS

Balance sheet for Bakers Dozen Pty. Ltd. as at 30 June 2023. Current Assets: Cash $19 000, Debtors $2 500, Stock $34 000 (total current assets $55 500). Non-current Assets: Equipment $62 000, Buildings $318 000, Land $160 000. Total Assets $595 500. Current Liabilities: Overdraft $30 000. Non-current Liabilities: Debentures $94 000, Mortgage $291 500. Owner's Equity: Capital $95 000, Retained profit $85 000 (total equity $180 000). Total Liabilities + Equity $595 500. Other information: Net profit for 2022-2023 was $160 000; industry average for liquidity is 2.5:1; industry gearing (total liabilities ÷ owner's equity) is 1:1.

69. **2020 HSC Question 24 (a)** 2021 Finance Practice HSC Questions · 2020 HSC Business Studies **1 mark**

Calculate the accounts receivable turnover ratio (sales ÷ accounts receivable) for this business.

STIMULUS

Financial Information for robotics company ($): Sales 225 000; Cost of goods sold 105 000; Selling expenses 8 500; Administration expenses 6 000; Financial expenses 4 000; Accounts receivable 30 000; Robotics company credit policy 30 days; Industry expense ratio 10%.

70. **22 (a)** Loreto Trial 2024 **2 marks**

Calculate and comment on Coffee Mania's current ratio (current assets ÷ current liabilities).

STIMULUS

Coffee Mania, a local cafe. Latest financial statement key figures: Current Assets $200,000; Non-Current Assets $800,000; Current Liabilities $150,000; Non-Current Liabilities $500,000; Owner's Equity $350,000.

71. **22 (a)** Reddam Trial 2024 **2 marks**

Calculate and comment on the Liquidity/Working Capital Ratio for Buffy's Florist Pty Ltd. Round off your calculation to 1 decimal point.

STIMULUS

Balance Sheet for Buffy's Florist, 1/1/24 – 30/6/24. Current Assets: Cash $10 000; Accounts Receivable $70 000; Inventory $80 000 (total $160 000). Non-Current Assets: Retail Premises $800 000; Delivery vans $100 000. Current Liabilities: Accounts Payable $90 000; Bank overdraft $60 000 (total $150 000). Non-Current Liabilities: Mortgage $600 000. Owners' Equity: Capital $260 000; Retained Profit $50 000. Additional financial information: Industry Average Liquidity/Working Capital Ratio = 2:1.

72. **24 (a)** Abbotsleigh Trial 2024 **2 marks**

Calculate and comment on the return on equity ratio (net profit ÷ total equity) for this business.

STIMULUS

Balance Sheet for SK Pty Ltd as at year ending 30 June 2024. Current Assets: Cash $15,000; Receivables $10,000; Inventories $80,000. Non-Current Assets: Property $280,000; R&D $60,000; Equipment $100,000. Current Liabilities: Creditors $50,000. Non-Current Liabilities: Bank Loan $100,000. Owners Equity: Capital $350,000; Net Profit $65,000; Drawings $20,000. Other financial information: 2023 return on equity ratio = 11%; 2024 return on equity ratio industry average 13%; 2024 debt to equity ratio industry average 2:1.

73. **23 (c)** Barker Trial 2024 **2 marks**

Outline how ONE ratio can be used to measure financial efficiency.

74. **22 (a)** Reddam Trial 2023 **2 marks**

Calculate and comment on the Return on Owner's Equity for Local Grocer Pty Ltd. Round off your calculation to 1 decimal point.

STIMULUS

Balance Sheet for Local Grocer Pty Ltd, June 2023.
Current Assets: Cash $25 000; Accounts Receivable $45 000; Inventory $55 000.
Non-Current Assets: Building $400 000; Delivery van $50 000.
Current Liabilities: Accounts Payable $35 000; Bank overdraft $65 000.
Non-Current Liabilities: Mortgage $225 000.
Owners' Equity: Capital $200 000; Retained Profit $50 000.
Additional financial information: Return on Owners' Equity ratio for 2022 = 0.1:1.

75. **22 (a)** Newington Trial 2023 **2 marks**

Calculate and interpret the change in the return on equity (net profit ÷ total equity) for this business between 2022 and 2023.

STIMULUS

Balance Sheet for Simon's Sporting Goods Pty Ltd (a large sporting goods retailer), as at 30 June 2023, figures in '000s. ASSETS: Cash at bank 800; Inventories 300; Accounts receivable 800 (current assets 1900); Plant & Equipment 500; Motor Vehicles 1200; Land & Buildings 4000 (non-current assets 5700); Total assets 7600. LIABILITIES: Accounts payable 1000; Overdraft 300 (current liabilities 1300); Two-year bank loan 1500; Mortgage 3000 (non-current liabilities 4500). OWNER'S EQUITY: Capital 1000; Retained Profit 800 (total equity 1800). Other information: Net profit for 2023 = $300 000; Return on Equity (net profit ÷ total equity) for 2022 = 20%. Industry Averages: Debt to Equity (total liabilities ÷ total equity) = 2:1; Current Ratio (current assets ÷ current liabilities) = 1:1.

76. **21 (b)** Abbotsleigh Trial 2023 **2 marks**

Calculate the current ratio (current assets ÷ current liabilities) for Bakers Dozen and comment on their liquidity.

STIMULUS

Balance sheet for Bakers Dozen Pty. Ltd. as at 30 June 2023. Current Assets: Cash $19 000, Debtors $2 500, Stock $34 000 (total current assets $55 500). Non-current Assets: Equipment $62 000, Buildings $318 000, Land $160 000. Total Assets $595 500. Current Liabilities: Overdraft $30 000. Non-current Liabilities: Debentures $94 000, Mortgage $291 500. Owner's Equity: Capital $95 000, Retained profit $85 000 (total equity $180 000). Total Liabilities + Equity $595 500. Other information: Net profit for 2022-2023 was $160 000; industry average for liquidity is 2.5:1; industry gearing (total liabilities ÷ owner's equity) is 1:1.

77. **23 (a)** 2022 HSC Business Studies **2 marks**

Calculate the efficiency (total expenses ÷ total sales) of this business.

STIMULUS

A gifts and homewares business sells goods such as candles, bags, cushions, soaps and jewellery. Financial information provided: Operating income (revenue) $1 500 000; Gross profit $1 100 000; Expenses $600 000; Total liabilities $2 000 000; Net profit $500 000; Owner's equity $1 800 000.

78. **2020 HSC Question 24 (b)** 2021 Finance Practice HSC Questions · 2020 HSC Business Studies **2 marks**

Interpret this business's expense ratio (total expenses ÷ sales).

STIMULUS

Financial Information for robotics company ($): Sales 225 000; Cost of goods sold 105 000; Selling expenses 8 500; Administration expenses 6 000; Financial expenses 4 000; Accounts receivable 30 000; Robotics company credit policy 30 days; Industry expense ratio 10%.

79. **22 (b)** 2021 Finance Practice HSC Questions **2 marks**

(b) Calculate the debt to equity ratio (total liabilities ÷ total equity) of this business. Show all working. **2**

80. **22 (a)** 2021 Finance Practice HSC Questions **2 marks**

Question 22 (12 marks)

Balance Sheet for Chalker Pty Ltd
as at year ending 30 June 2012

	$	$
Current Assets	$	$
Cash	8 000	
Receivables	12 000	
Inventories	15 000	35 000
Non-Current Assets		
Property, Plant and Equipment		33 000
Total Assets		**68 000**
Current Liabilities		
Creditors		14 000
Non-Current Liabilities		
Loan		20 000
Owners Equity		
Capital	15 000	
Retained Net Profit	19 000	34 000
Total Liabilities and Owners Equity		**68 000**

(a) Calculate the current ratio (current assets ÷ current liabilities) of this business. Show all working. **2**

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81. **23 (b)** 2022 HSC Business Studies **3 marks**

Explain how the expense ratio can help this business determine their efficiency.

STIMULUS

A gifts and homewares business sells goods such as candles, bags, cushions, soaps and jewellery. Financial information provided: Operating income (revenue) $1 500 000; Gross profit $1 100 000; Expenses $600 000; Total liabilities $2 000 000; Net profit $500 000; Owner's equity $1 800 000.

82. **24 (a)–(b)** 2021 Finance Practice HSC Questions **3 marks**

Question 24 (10 marks)

Financial Information for robotics company

	($)
Sales	225 000
Cost of goods sold	105 000
Selling expenses	8 500
Administration expenses	6 000
Financial expenses	4 000
Accounts receivable	30 000
Robotics company credit policy	30 days
Industry expense ratio	10%

(a) Calculate the accounts receivable turnover ratio (sales ÷ accounts receivable) for this business. **1**

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(b) Interpret this business's expense ratio (total expenses ÷ sales). **2**

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83. **22 (c)** Roseville Trial 2024 **4 marks**

Assess the profitability of this business against industry averages.

STIMULUS

Financial data for Smith Office Supplies Pty Ltd for the period ending 30 June 2023 (business figure, then industry average): Sales 180 000 / 240 000; Cost of Goods Sold 120 000 / 120 000; GROSS PROFIT 60 000 / 120 000; Operating expenses — Administrative 17 000 / 15 000, Sales and distribution 7 000 / 15 000, Financial 7 000 / 10 000; NET PROFIT 29 000 / 80 000. Formulae given: Gross Profit Ratio = Gross Profit / Sales; Net Profit Ratio = Net Profit / Sales; Expense Ratio = Total expenses / Sales.

84. **24 (b)** SIC Trial 2024 **4 marks**

Assess the profitability of this business.

STIMULUS

Key financial information for a manufacturing business planning to invest $10m into a new manufacturing facility over the next 3 years. Figures in $'000: Revenue 9 000; Accounts receivable 2 500; Cost of goods sold 3 600; Retained profit 1 400; Expenses 3 780. Industry averages: Gross Profit Ratio (gross profit / sales) = 50%; Net Profit Ratio (net profit / sales) = 25%; Expense Ratio (expense / sales) = 45%.

85. **23 (a)** Barker Trial 2024 **4 marks**

Evaluate the solvency (total liabilities ÷ total equity) for this business.

STIMULUS

Acme Kitchenware manufactures and sells pots and pans to department stores. Table 'Financial Information for Acme Kitchenware 2022':
Current assets — Cash $30 000; Accounts Receivable $45 000; Inventory $50 000.
Non-current assets — Vehicles $45 000; Plant and Equipment $20 000; Goodwill $30 000.
Current liabilities — Accounts Payable $60 000; Overdraft (figure not legible in the source file).
Non-current liabilities — Term loan $130 000.
Owner's equity — Capital and Retained earnings of $70 000 and $150 000 (total equity $220 000).
Additional information: 2021 solvency ratio 105%; industry solvency ratio 70%. (The paper's marking guidelines state the 2022 solvency ratio is 93.2%.)

86. **23 (a)** Barker Trial 2023 **4 marks**

Evaluate the owner's return on equity (net profit ÷ total equity).

STIMULUS

Acme Kitchenware manufactures and sells pots and pans to department stores. Financial Information for Acme Kitchenware 2022 -- Current assets: Cash $125 000, Accounts receivable $60 500, Stock $110 000 (total current assets $295 500). Non-current assets: Vehicles $260 000, Equipment $216 580. Current liabilities: Accounts payable $120 000, Overdraft $120 780 (total current liabilities $240 780). Non-current liabilities: Mortgage $20 000. Owner's equity: Capital $430 800, Retained earnings $80 500 (total equity $511 300). Additional information: Net profit $75 000; industry average return on equity 18%. (Return on equity therefore works out at approximately 14.7%.)

87. **22 (c)** Newington Trial 2023 **4 marks**

Using the financial information provided, assess the recent financial performance of Simon's Sporting Goods Pty Ltd.

STIMULUS

Balance Sheet for Simon's Sporting Goods Pty Ltd (a large sporting goods retailer), as at 30 June 2023, figures in '000s. ASSETS: Cash at bank 800; Inventories 300; Accounts receivable 800 (current assets 1900); Plant & Equipment 500; Motor Vehicles 1200; Land & Buildings 4000 (non-current assets 5700); Total assets 7600. LIABILITIES: Accounts payable 1000; Overdraft 300 (current liabilities 1300); Two-year bank loan 1500; Mortgage 3000 (non-current liabilities 4500). OWNER'S EQUITY: Capital 1000; Retained Profit 800 (total equity 1800). Other information: Net profit for 2023 = $300 000; Return on Equity (net profit ÷ total equity) for 2022 = 20%. Industry Averages: Debt to Equity (total liabilities ÷ total equity) = 2:1; Current Ratio (current assets ÷ current liabilities) = 1:1.

88. **22 (c)** Roseville Trial 2023 **4 marks**

Using the information above, assess the profitability of this business.

STIMULUS

Income statement for Manly Beach Pancakes Store Pty Ltd, year ended 30 June 2022, shown alongside Industry Average Results ($):
Sales 150 000 (industry 200 000); Cost of goods sold 105 000 (industry 100 000); Gross profit 45 000 (industry 100 000).
Operating expenses — Administrative 5 000 (industry 12 000); Selling & distribution 7 000 (industry 15 000); Financial 3 000 (industry 3 000); Net profit 30 000 (industry 70 000).
Formulae supplied: Gross Profit Ratio = gross profit / sales; Net Profit Ratio = net profits / sales.

89. **22 (c)** 2021 HSC Business Studies **5 marks**

Account for the changes in this business's current and forecast profitability and gearing.

STIMULUS

Ratio table for the luxury Australian handbag business (which is borrowing US$30 million to buy retail properties in Australia), comparing Current (before loan) with Forecast (12 months after loan): Gross profit 65% to 70%; Net profit 21% to 18%; Debt to equity 0.85:1 (85%) to 1.5:1 (150%).

90. **2015 HSC Question 24 (b)** 2021 Finance Practice HSC Questions **5 marks**

Discuss the gearing of Andrew's Discount Tyres.

STIMULUS

Extract from financial reports for Andrew's Discount Tyres as at 30 May 2015. Current assets: Accounts receivable $1 000; Inventory $2 000; Cash $2 000. Non-current assets: Building $13 000; Fittings $1 000; Research and development $5 000. Current liabilities: Overdraft $2 000; Accounts payable $1 000. Non-current liabilities: Mortgage $5 000. Owner's Equity $16 000. Other information: Net profit for Andrew's Discount Tyres $1000; Industry average gearing ratio (total liabilities ÷ total equity): 80%.

91. **19–20** 2021 Finance Practice HSC Questions **multiple choice**

19 Which of the following statements is true about liquidity for Kerry's Warehouse in 2014?

(A) It is better than industry average and has improved since 2013.

(B) It is better than industry average and has worsened since 2013.

(C) It is worse than industry average and has improved since 2013.

(D) It is worse than industry average and has worsened since 2013.

20 Which of the following statements is true about gearing for Kerry's Warehouse in 2014?

(A) It is better than industry average and has improved since 2013.

(B) It is better than industry average and has worsened since 2013.

(C) It is worse than industry average and has improved since 2013.

(D) It is worse than industry average and has worsened since 2013.

Answer: ____________________

92. **17** 2021 Finance Practice HSC Questions **multiple choice**

17 The expense ratio (total expenses ÷ sales) is always

A. the difference between the net profit ratio and the gross profit ratio.

B. the difference between sales and the gross profit ratio.

C. greater than the gross profit ratio.

D. greater than the net profit ratio.

Answer: ____________________

93. **19** 2021 Finance Practice HSC Questions **multiple choice**

19 The table shows financial data for two businesses.

	Business A	*Business B*
Annual sales ($)	1 600 000	2 800 000
Net profit ($)	400 000	400 000
Accounts receivable ($)	200 000	250 000

Net profit ratio: net profit ÷ sales
Accounts receivable turnover ratio: sales ÷ accounts receivable

Which of the following statements is correct?

(A) Business A is more profitable but less efficient than Business B.

(B) Business B is more profitable but less efficient than Business A.

(C) Business A is more profitable and more efficient than Business B.

(D) Business B is more profitable and more efficient than Business A.

Answer: ____________________

94. **20** 2021 Finance Practice HSC Questions **multiple choice**

20 The table shows information supplied by a business.

Sales	?
Cost of goods sold	?
Gross profit	$400 000
Expenses	?
Net profit	?
Gross profit ratio (gross profit ÷ sales)	66.7%
Net profit ratio (net profit ÷ sales)	50%

Which row in the following table shows the sales and net profit for this business?

	Sales	*Net profit*
A.	$66 700	$50 000
B.	$200 000	$100 000
C.	$600 000	$200 000
D.	$600 000	$300 000

Answer: ______________________

95. **19–20 (stimulus)** 2021 Finance Practice HSC Questions **multiple choice**

Use the following information to answer Questions 19–20.

Extract from Balance Sheet for Kerry's Warehouse as at June 2014

	$
Current assets	1500
Non-current assets	8500
Current liabilities	1000
Non-current liabilities	6000

Additional information

Financial data for Kerry's Warehouse 2013:

Debt to equity ratio = 150%

Current ratio 1.25 : 1 or 125%

Industry averages for 2013–14:

Debt to equity ratio (total liabilities ÷ total equity) = 100%

Current ratio (current assets ÷ current liabilities) = 1:1 or 100%

Answer: ____________________

96. 19–20 2021 Finance Practice HSC Questions **multiple choice**

Use the following information to answer Questions 19 and 20.

Extract from balance sheet for a business as at June 2020

	($)
Current assets	1700
Non-current assets	8650
Current liabilities	1100
Non-current liabilities	6500

Additional information

Financial data 2019

Debt to equity ratio = 2 : 1 or 200%

Current ratio = 1.25 : 1 or 125%

Industry averages for 2019–2020

Debt to equity ratio (total liabilities ÷ total equity) = 1 : 1 or 100%

Current ratio (current assets ÷ current liabilities) = 2 : 1 or 200%

19 The liquidity position of this business in 2020 indicates that it is

A. better than the industry average and has improved since 2019.

B. better than the industry average and has worsened since 2019.

C. worse than the industry average and has improved since 2019.

D. worse than the industry average and has worsened since 2019.

20 The gearing for this business in 2020 indicates that it is

A. better than the industry average and has improved since 2019.

B. better than the industry average and has worsened since 2019.

C. worse than the industry average and has improved since 2019.

D. worse than the industry average and has worsened since 2019.

Answer: ____________________

97. **19–20** 2021 Finance Practice HSC Questions **multiple choice**

Use the following information to answer Questions 19 and 20.

A business provided the following financial information.

Sales	$600 000
Owner's equity	$320 000
Accounts receivable	$41 000
Cost of goods sold	$200 000
Expenses	$60 000

Additional information:

- Gross profit ratio = gross profit ÷ sales
- Accounts receivable turnover ratio = sales ÷ accounts receivable

19 What is the gross profit ratio for the business?

A. 53%

B. 67%

C. 78%

D. 90%

20 What is the average number of days the business takes to collect its debts?

A. 15 days

B. 25 days

C. 29 days

D. 30 days

Answer: ____________________

98. **10** 2021 Finance Practice HSC Questions **multiple choice**

10 Which of the following would improve the financial position of a business?

(A) Lower current ratio and lower accounts receivable turnover ratio

(B) Higher current ratio and lower accounts receivable turnover ratio

(C) Lower current ratio and higher accounts receivable turnover ratio

(D) Higher current ratio and higher accounts receivable turnover ratio

Answer: ____________________

Also tested by questions 4, 6, 7, 9, 52, 53, 54, 62, 64, 65, 66.

Comparative ratio analysis

99. **22 (b)** Roseville Trial 2023 **2 marks**

Describe the purpose of comparative ratio analysis for a business.

100. **2020 HSC Question 24 (d)** 2021 Finance Practice HSC Questions · 2020 HSC Business Studies **4 marks**

Explain TWO ways in which comparative ratio analysis can be used by this business to assess its financial position.

STIMULUS

Financial Information for robotics company ($): Sales 225 000; Cost of goods sold 105 000; Selling expenses 8 500; Administration expenses 6 000; Financial expenses 4 000; Accounts receivable 30 000; Robotics company credit policy 30 days; Industry expense ratio 10%.

101. **24 (c)–(d)** 2021 Finance Practice HSC Questions · 2020 HSC Business Studies **7 marks**

Question 24 (continued)

(c) Recommend ONE financial strategy this business could implement to improve efficiency in the collection of accounts receivable. **3**

(d) Explain TWO ways in which comparative ratio analysis can be used by this business to assess its financial position. **4**

102. **12** 2021 Finance Practice HSC Questions **multiple choice**

12 Kevin is considering investing in a business.

To help Kevin determine which business to invest in, he should consider comparative ratio analysis because

A. cash flow is assessed.

B. market share is determined.

C. similar businesses are evaluated.

D. business sales growth is measured.

Answer: ______________________

103. **15** 2021 Finance Practice HSC Questions **multiple choice**

15 Mick is deciding whether to purchase Business A or Business B and has received the following information.

	Business A	*Business B*
Assets ($)	10 million	1 million
Total sales ($)	4 million	2 million

Which of the following will help Mick make the best decision?

A. Total sales

B. Industry averages

C. The value of assets

D. Comparative ratio analysis

Answer: ______________________

Also tested by questions 64, 71, 72, 74, 75, 76, 78, 82, 83, 84, 85, 86, 87, 88, 89, 90, 91, 93, 95, 96.

Limitations of financial reports

104. **22 (a)** Roseville Trial 2024 **2 marks**

Outline ONE limitation of financial reports.

105. **21 (a)** Knox Trial 2023 **2 marks**

Outline ONE limitation of this financial report.

STIMULUS

Financial information for Playsmart Child Care Ltd (balance sheet extract). Current Assets: Cash $40 000; Accounts Receivable $100 000; Inventory $100 000. Non-Current Assets: Building $320 000; Delivery van $40 000; Goodwill $100 000. Current Liabilities: Accounts Payable $100 000; Bank overdraft $130 000. Non-Current Liabilities: Mortgage $300 000. Owners' Equity: Capital $150 000; Retained Profit $20 000. Additional information: Debt to equity ratio = Total Liabilities / Total Equity; gearing industry average 2:1.

106. **22 (b)** Loreto Trial 2024 **3 marks**

Explain ONE limitation of financial statements in providing a complete picture of Coffee Mania's financial health.

STIMULUS

Coffee Mania, a local cafe. Latest financial statement key figures: Current Assets $200,000; Non-Current Assets $800,000; Current Liabilities $150,000; Non-Current Liabilities $500,000; Owner's Equity $350,000.

107. **2015 HSC Question 24 (a)** 2021 Finance Practice HSC Questions **3 marks**

Explain ONE possible limitation of this financial report.

STIMULUS

Extract from financial reports for Andrew's Discount Tyres as at 30 May 2015. Current assets: Accounts receivable $1 000; Inventory $2 000; Cash $2 000. Non-current assets: Building $13 000; Fittings $1 000; Research and development $5 000. Current liabilities: Overdraft $2 000; Accounts payable $1 000. Non-current liabilities: Mortgage $5 000. Owner's Equity $16 000. Other information: Net profit for Andrew's Discount Tyres $1000; Industry average gearing ratio (total liabilities ÷ total equity): 80%.

108. **24 (b)** Abbotsleigh Trial 2024 **4 marks**

Describe TWO limitations of SK Pty Ltd's 2024 Balance Sheet.

STIMULUS

Balance Sheet for SK Pty Ltd as at year ending 30 June 2024. Current Assets: Cash $15,000; Receivables $10,000; Inventories $80,000. Non-Current Assets: Property $280,000; R&D $60,000; Equipment $100,000. Current Liabilities: Creditors $50,000. Non-Current Liabilities: Bank Loan $100,000. Owners Equity: Capital $350,000; Net Profit $65,000; Drawings $20,000. Other financial information: 2023 return on equity ratio = 11%; 2024 return on equity ratio industry average 13%; 2024 debt to equity ratio industry average 2:1.

109. **24 (c)** 2023 HSC Business Studies **5 marks**

Explain TWO limitations of financial reports.

110. **16** 2021 Finance Practice HSC Questions **multiple choice**

16 Auditors have discovered that the value of legal fees paid has been included in the asset value of a new warehouse purchased by a business.

What limitation of financial reports does this show?

(A) Capitalised expenses

(B) Debt repayments

(C) Normalised earnings

(D) Timing issues

Answer: ____________________

Also tested by questions 116, 117, 118.

Ethical issues related to financial reports

111. **22 (d)** Reddam Trial 2024 **2 marks**

Outline ONE ethical issue related to this financial report.

STIMULUS

Balance Sheet for Buffy's Florist, 1/1/24 – 30/6/24. Current Assets: Cash $10 000; Accounts Receivable $70 000; Inventory $80 000 (total $160 000). Non-Current Assets: Retail Premises $800 000; Delivery vans $100 000. Current Liabilities: Accounts Payable $90 000; Bank overdraft $60 000 (total $150 000). Non-Current Liabilities: Mortgage $600 000. Owners' Equity: Capital $260 000; Retained Profit $50 000. Additional financial information: Industry Average Liquidity/Working Capital Ratio = 2:1.

112. **2019 HSC Question 22 (a)** 2021 Finance Practice HSC Questions · 2019 HSC Business Studies **2 marks**

Outline ONE ethical issue related to the preparation of financial reports.

113. **21 (b)** Knox Trial 2023 **3 marks**

Explain ONE ethical issue related to financial reports for the stakeholders of this business.

STIMULUS

Financial information for Playsmart Child Care Ltd (balance sheet extract). Current Assets: Cash $40 000; Accounts Receivable $100 000; Inventory $100 000. Non-Current Assets: Building $320 000; Delivery van $40 000; Goodwill $100 000. Current Liabilities: Accounts Payable $100 000; Bank overdraft $130 000. Non-Current Liabilities: Mortgage $300 000. Owners' Equity: Capital $150 000; Retained Profit $20 000. Additional information: Debt to equity ratio = Total Liabilities / Total Equity; gearing industry average 2:1.

Also tested by question 55.

PART 3 · EXTENDED RESPONSE

Processes of financial management — 20-mark questions

5 questions. Plan and write these on separate paper.

114. **26** Barker Trial 2024 **20 marks**

Assess the use of financial strategies to improve financial processes.

115. **25** Newington Trial 2023 **20 marks**

You have been hired as a consultant to write a report for Fly Well Airlines Ltd.
In your report:
▪ Outline ONE advantage and ONE disadvantage of outsourcing aircraft servicing and maintenance.
▪ Discuss issues involved in raising funds through both debt and equity finance and make a recommendation to management about which source of funding to use.
▪ Explain TWO human resource strategies that could assist Fly Well Airlines Ltd to address management concerns and help achieve business success.

STIMULUS

Fly Well Airlines Ltd is a low-cost Australian based domestic airline that has been exploring options to expand globally. Its domestic customers in Australia typically tend to be business executives and budget conscious leisure travellers. The business intends to begin operating flights into the highly competitive Asian market in the latter part of 2023. To achieve this, the business will have to fund the purchase of new computerised ticketing and baggage facilities at its Sydney terminal. Management believes there is also opportunity for the airline to move all scheduled aircraft servicing and maintenance to a contractor in Singapore. Employees who belong to unions have indicated they will respond to this with industrial action. Management is also concerned about the best way to achieve a sustainable competitive advantage in their new overseas markets.

116. **Question 25** Roseville Trial 2023 **20 marks**

You have been hired as a consultant by ACB Pty Ltd to write a business report to the owners.
In your report:
• outline how human resources is interdependent with finance in this business.
• explain the limitations of financial reports that this business must be aware of when purchasing the 5 existing American retail sporting stores.
• recommend global financial management strategies that could help to reduce financial risks for this business.

STIMULUS

Aussie Cricket Bats (ACB) Pty Ltd is an Australian cricket bat manufacturing company hoping to cash in on the newfound popularity of the sport in America by selling cricket bats into that market. ACB plans to sell to Americans via (1) its already well-established Australian website, (2) taking ownership over 5 existing retail sporting stores on the east coast of America, and (3) becoming a supplier of bats to other established American sporting retail chains. To fund these plans ACB needs to borrow the equivalent of $15 million Australian Dollars. The owners are unsure whether to borrow in Australian Dollars from an Australian bank or in US Dollars from an American bank, and are worried about how to staff the 5 American retail stores as well as potentially paying too much for those businesses because they lack accounting expertise.

117. 2016 HSC Question 26 2021 Finance Practice HSC Questions **20 marks**

The potential new partner has asked you to write a business report in which you:
- explain possible limitations of the financial reports
- recommend appropriate working capital management strategies for the business
- evaluate a pricing strategy the business could use.

STIMULUS

Case scenario (business report): Lee's Catering is a small business with a high profile chef and food of excellent quality. It has many bookings for future events. Extract from financial reports for Lee's Catering: Cash $1000; Accounts receivable $10 000; Inventory $50; Accounts payable $11 050; Goodwill $200 000; Current ratio (current assets ÷ current liabilities) 100% (industry average 150%); Gross profit ratio (gross profit ÷ sales) 30% (industry average 50%); Expense ratio (total expenses ÷ sales) 60% (industry average 30%). A potential new partner is concerned about the accuracy of the financial reports and the effectiveness of current management.

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118. 26 2021 Finance Practice HSC Questions **20 marks**

Question 26 (20 marks)

The table shows data for Lee's Catering, a small business. It has a high profile chef and the food is of excellent quality. It has many bookings for future events.

Extract from financial reports for Lee's Catering	
Cash ($)	1000
Accounts receivable ($)	10 000
Inventory ($)	50
Accounts payable ($)	11 050
Goodwill ($)	200 000
Current ratio (current assets ÷ current liabilities)	100% (industry average 150%)
Gross profit ratio (gross profit ÷ sales)	30% (industry average 50%)
Expense ratio (total expenses ÷ sales)	60% (industry average 30%)

A potential new partner is concerned about the accuracy of the financial reports and the effectiveness of current management.

The potential new partner has asked you to write a business report in which you:
- explain possible limitations of the financial reports
- recommend appropriate working capital management strategies for the business
- evaluate a pricing strategy the business could use.

PART 4

Financial management strategies

Cash flow management

119. **21 (c)** Abbotsleigh Trial 2023 **2 marks**

Recommend a cash flow management strategy to improve Bakers Dozen's liquidity.

STIMULUS

Balance sheet for Bakers Dozen Pty. Ltd. as at 30 June 2023. Current Assets: Cash $19 000, Debtors $2 500, Stock $34 000 (total current assets $55 500). Current Liabilities: Overdraft $30 000. Non-current Liabilities: Debentures $94 000, Mortgage $291 500. Owner's Equity: Capital $95 000, Retained profit $85 000. Total Assets $595 500. Net profit for 2022-2023 was $160 000; industry average for liquidity is 2.5:1; industry gearing is 1:1. The business's current ratio is well below the industry average.

120. **23 (b)** 2021 Finance Practice HSC Questions **3 marks**

(b) How could a business improve management of its accounts receivable turnover? **3**

121. **24 (c)** 2021 Finance Practice HSC Questions **4 marks**

Question 24 (continued)

(c) Discuss *factoring* as a strategy for cash flow management. **4**

Also tested by questions 15, 16, 17, 19, 20, 22, 41, 56, 57, 61, 101, 114, 138, 139, 140, 141, 142.

Working capital management

122. **22 (b)** Reddam Trial 2024 **2 marks**

Describe ONE inventory management strategy Buffy’s Florist Pty Ltd could use in the business.

STIMULUS

Balance Sheet for Buffy’s Florist, 1/1/24 – 30/6/24. Current Assets: Cash $10 000; Accounts Receivable $70 000; Inventory $80 000 (total $160 000). Non-Current Assets: Retail Premises $800 000; Delivery vans $100 000. Current Liabilities: Accounts Payable $90 000; Bank overdraft $60 000 (total $150 000). Non-Current Liabilities: Mortgage $600 000. Owners’ Equity: Capital $260 000; Retained Profit $50 000. Additional financial information: Industry Average Liquidity/Working Capital Ratio = 2:1.

123. **22 (b)** Reddam Trial 2023 **2 marks**

Recommend ONE working capital management strategy Local Grocer Pty Ltd. could use to improve its liquidity.

STIMULUS

Balance Sheet for Local Grocer Pty Ltd, June 2023.
Current Assets: Cash $25 000; Accounts Receivable $45 000; Inventory $55 000.
Non-Current Assets: Building $400 000; Delivery van $50 000.
Current Liabilities: Accounts Payable $35 000; Bank overdraft $65 000.
Non-Current Liabilities: Mortgage $225 000.
Owners' Equity: Capital $200 000; Retained Profit $50 000.
Additional financial information: Return on Owners' Equity ratio for 2022 = 0.1:1.

124. **22 (c)** Reddam Trial 2024 **4 marks**

Discuss the impact of ONE working capital management strategy on Buffy's Florist Pty Ltd.

STIMULUS

Balance Sheet for Buffy's Florist, 1/1/24 – 30/6/24. Current Assets: Cash $10 000; Accounts Receivable $70 000; Inventory $80 000 (total $160 000). Non-Current Assets: Retail Premises $800 000; Delivery vans $100 000. Current Liabilities: Accounts Payable $90 000; Bank overdraft $60 000 (total $150 000). Non-Current Liabilities: Mortgage $600 000. Owners' Equity: Capital $260 000; Retained Profit $50 000. Additional financial information: Industry Average Liquidity/Working Capital Ratio = 2:1.

125. **23 (b)** Barker Trial 2023 · Barker Trial 2024 **4 marks**

How could Acme Kitchenware improve their level of working capital?

STIMULUS

Acme Kitchenware manufactures and sells pots and pans to department stores. Financial Information for Acme Kitchenware 2022 -- Current assets: Cash $125 000, Accounts receivable $60 500, Stock $110 000 (total current assets $295 500). Non-current assets: Vehicles $260 000, Equipment $216 580. Current liabilities: Accounts payable $120 000, Overdraft $120 780 (total current liabilities $240 780). Non-current liabilities: Mortgage $20 000. Owner's equity: Capital $430 800, Retained earnings $80 500 (total equity $511 300). Additional information: Net profit $75 000; industry average return on equity 18%. (Working capital is therefore only $54 720, a current ratio of about 1.23:1.)

126. **21 (c)** Knox Trial 2023 **5 marks**

Analyse the use of sale and leaseback as a financial management strategy for this business.

STIMULUS

Financial information for Playsmart Child Care Ltd (balance sheet extract). Current Assets: Cash $40 000; Accounts Receivable $100 000; Inventory $100 000. Non-Current Assets: Building $320 000; Delivery van $40 000; Goodwill $100 000. Current Liabilities: Accounts Payable $100 000; Bank overdraft $130 000. Non-Current Liabilities: Mortgage $300 000. Owners' Equity: Capital $150 000; Retained Profit $20 000. Additional information: Debt to equity ratio = Total Liabilities / Total Equity; gearing industry average 2:1.

127. **6** 2021 Finance Practice HSC Questions **multiple choice**

6 Which of the following would immediately improve the working capital of a business?

(A) Increasing credit sales

(B) Using sale and lease back

(C) Preparing a cash flow statement

(D) Repaying debt to creditors more quickly

Answer: ____________________

Also tested by questions 15, 16, 17, 19, 20, 41, 42, 101, 114, 117, 118, 120, 138, 139, 140, 142, 143, 144.

Profitability management

128. **22 (d)** Roseville Trial 2024 **4 marks**

Recommend TWO profitability management strategies for this business.

STIMULUS

Financial data for Smith Office Supplies Pty Ltd for the period ending 30 June 2023 (business figure, then industry average): Sales 180 000 / 240 000; Cost of Goods Sold 120 000 / 120 000; GROSS PROFIT 60 000 / 120 000; Operating expenses — Administrative 17 000 / 15 000, Sales and distribution 7 000 / 15 000, Financial 7 000 / 10 000; NET PROFIT 29 000 / 80 000.

129. **22 (d)** Roseville Trial 2023 **4 marks**

Recommend TWO profitability management strategies that this business could use to improve its profitability result.

STIMULUS

Income statement for Manly Beach Pancakes Store Pty Ltd, year ended 30 June 2022, shown alongside Industry Average Results ($):

Sales 150 000 (industry 200 000); Cost of goods sold 105 000 (industry 100 000); Gross profit 45 000 (industry 100 000).

Operating expenses — Administrative 5 000 (industry 12 000); Selling & distribution 7 000 (industry 15 000); Financial 3 000 (industry 3 000); Net profit 30 000 (industry 70 000).

The business therefore has a gross profit ratio of 30% versus an industry average of 50%, and a net profit ratio of 20% versus an industry average of 35%.

Also tested by questions 13, 14, 15, 16, 17, 19, 20, 22, 41, 114, 118, 138, 139, 140, 141, 142, 145.

Global financial management

130. **2017 HSC Question 24 (a)** 2021 Finance Practice HSC Questions **2 marks**

How will an appreciation of the Australian dollar affect the competitive position of this business?

STIMULUS

Case scenario: A business imports computers from China and sells them to customers in Australia.

131. **24 (a)** 2021 Finance Practice HSC Questions **2 marks**

Question 24 (7 marks)

A business imports computers from China and sells them to customers in Australia.

(a) How will an appreciation of the Australian dollar affect the competitive position of this business? **2**

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132. **2013 HSC Question 24 (a)** 2021 Finance Practice HSC Questions **3 marks**

Describe ONE method of payment the business could use to ensure that it receives payment for the sales.

STIMULUS

Case scenario: An Australian-owned business manufactures bicycles in China and sells them to wholesalers in France. These wholesalers do not pay in advance.

133. **24 (a)** 2021 Finance Practice HSC Questions **3 marks**

Question 24 (7 marks)

An Australian-owned business manufactures bicycles in China and sells them to wholesalers in France. These wholesalers do not pay in advance.

(a) Describe ONE method of payment the business could use to ensure that it receives payment for the sales. **3**

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134. **24 (b)** 2021 Finance Practice HSC Questions **4 marks**

(b) How could this business protect itself against a change in the value of the Australian dollar relative to another currency? **4**

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135. **24 (b)** 2021 Finance Practice HSC Questions **5 marks**

(b) Justify the method of payment that would be most effective in reducing the business's financial risk. **5**

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136. **18** 2021 Finance Practice HSC Questions **multiple choice**

18 Australian businesses export to Canada.

What would happen if the value of the Australian dollar increased compared to the Canadian dollar?

A. There would be no effect on Canadian businesses.

B. Australian imports from Canada would become more expensive.

C. Canadian businesses would find Australian products more affordable.

D. Australian products would become more expensive for Canadian businesses.

Answer: ____________________

137. **20** 2021 Finance Practice HSC Questions **multiple choice**

20 Which of the following groups would suffer the worst financial impact as a result of an increase in the value of the Australian dollar?

(A) Japanese shareholders of an Australian bank

(B) Australian producers selling wine to New Zealand

(C) Australian car makers purchasing inputs from Italy

(D) American travel agents organising tours for Australians

Answer: ____________________

Also tested by questions 15, 17, 38, 41, 47, 48, 114, 116, 139, 140, 146.

PART 4 · EXTENDED RESPONSE

Financial management strategies — 20-mark questions

9 questions. Plan and write these on separate paper.

138. **27** Independent Trial 2024 **20 marks**

Analyse how financial management strategies can be used to improve the cash flow and profitability of a business.

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139. **26** Roseville Trial 2024 **20 marks**

Assess strategies that management can use to respond to influences on finance.

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140. **2015 HSC Question 28** 2021 Finance Practice HSC Questions **20 marks**

Evaluate the importance of financial management strategies in improving business performance.

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141. **2013 HSC Question 26** 2021 Finance Practice HSC Questions **20 marks**

You have been employed as a consultant by the owners. Write a report to the owners recommending marketing and financial management strategies to improve the performance of the business.

STIMULUS

Case scenario (business report): Kingland Office Supplies operates in a large NSW city in a highly competitive market. A paid manager is responsible for the day-to-day running of the business. The owners are concerned about the low profitability of the business. Investigations by the owners indicate the following problems: customers find the product mix unappealing; poor management of cash flow; poor accounts receivable turnover compared to similar businesses. The manager has also identified low prices offered by larger competitors as a cause of the low profitability.

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142. **26** 2021 Finance Practice HSC Questions **20 marks**

20 marks
Attempt Question 26
Allow about 35 minutes for this section

Answer the question in the Section III Writing Booklet. Extra writing booklets are available.

In your answer you will be assessed on how well you:
- demonstrate knowledge and understanding relevant to the question
- apply the hypothetical business situation
- communicate using relevant business terminology and concepts
- present a sustained, logical and cohesive response in the form of a business report

Question 26 (20 marks)

Kingland Office Supplies operates in a large NSW city in a highly competitive market. A paid manager is responsible for the day-to-day running of the business.

The owners are concerned about the low profitability of the business.

Investigations by the owners indicate the following problems:
- customers find the product mix unappealing
- poor management of cash flow
- poor accounts receivable turnover compared to similar businesses.

The manager has also identified low prices offered by larger competitors as a cause of the low profitability.

You have been employed as a consultant by the owners. Write a report to the owners recommending marketing and financial management strategies to improve the performance of the business.

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143. **2019 HSC Question 25** 2021 Finance Practice HSC Questions · HSC Final Exam Preparation — HRM · 2019 HSC Business Studies **20 marks**

You have been hired as a consultant to write a report for the owners. In your report:
• discuss methods this business could use in the acquisition and development of staff
• recommend TWO appropriate working capital management strategies for this business.

STIMULUS

Case scenario (business report): A business, Roo's Outback Eatery Pty Ltd, is opening an additional restaurant in NSW. They plan to position the restaurant as an exclusive restaurant specialising in modern Australian food with quality customer service. The owners require assistance with the following: the acquisition and development of suitable staff; additional funds for the day-to-day running of the business; the close monitoring of working capital.

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144. **25** 2021 Finance Practice HSC Questions **20 marks**

Section III

20 marks
Attempt Question 25
Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:
- demonstrate knowledge and understanding relevant to the question
- apply the hypothetical business situation
- communicate using relevant business terminology and concepts
- present a sustained, logical and cohesive response in the form of a business report

Question 25 (20 marks)

A business, Roo's Outback Eatery Pty Ltd, is opening an additional restaurant in NSW. They plan to position the restaurant as an exclusive restaurant specialising in modern Australian food with quality customer service. The owners require assistance with the following:
- the acquisition and development of suitable staff
- additional funds for the day-to-day running of the business
- the close monitoring of working capital.

You have been hired as a consultant to write a report for the owners. In your report:
- discuss methods this business could use in the acquisition and development of staff
- recommend TWO appropriate working capital management strategies for this business.

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145. **Question 25** HSC Final Exam Preparation — OPERATIONS **20 marks**

You have been employed as a consultant to prepare a report for the management of Fast Car Parts Ltd. In your report:
• Outline TWO National Employment Standards the Human Resource manager should be aware of while negotiating the new enterprise agreement.
• Describe ONE influence on operations at Fast Car Parts Ltd.
• Discuss TWO appropriate operations strategies management could implement at Fast Car Parts Ltd.
• Recommend ONE profitability strategy the business could use to help increase sales or reduce expenses.

STIMULUS

Fast Car Parts Ltd is a successful producer of car parts with a number of factories throughout NSW. It is experiencing difficulties with its operations due to the rapidly changing nature of global markets and increased competition. This has led to declining sales and increasing expenses. The Human Resource manager is currently negotiating a new enterprise agreement with staff. Management are unsure about the various strategies they need to implement to solve the issues the company faces.

146. **25** 2022 HSC Business Studies **20 marks**

You have been hired as a consultant by Bee Sticky Pty Ltd to write a business report for the owners. In your report:
• describe branding and product strategies the business could use to expand into global markets
• recommend a channel choice that would suit this business's expansion
• analyse the global financial management strategies required for a successful expansion.

STIMULUS

Bee Sticky Pty Ltd is an established Australian manufacturing business that produces a wide range of high quality and premium organic honey. It is expanding into global markets and will lease warehouses in Malaysia and the USA. A recently completed SWOT analysis is provided. Strengths: high quality, premium and organic honey products; approved for consumption and medical uses; made by honeybees from Australian flora. Weaknesses: frequent breakage of product during transportation; lack of experience in foreign payment systems. Opportunities: expanding market for high quality honey in countries overseas; falling bee populations overseas; potential collaborations with up-market restaurants/chefs. Threats: established competition in foreign markets; fluctuations in the Australian dollar.